

Pfizer Inc.

Anticipating Upside to Guidance As We Move Through the Year Although Pipeline Remains the Focus

Heading into PFE's 2Q earnings (8/4), we are roughly in-line with the Street for the quarter and continue to see potential upside to guidance as we move through the year. On the quarter, we forecast sales of \$14.6bn (+\$130mm vs cons) and EPS of \$0.69 (+\$0.01). And for the year overall, we estimate sales of \$62.7bn (+\$860mm vs cons) and EPS of \$3.05 (+\$0.09) which leaves us modestly above PFE's guidance (\$59.5-\$62.5bn, \$2.80 - \$3.00).

More broadly on the story, we continue to view PFE shares as inexpensive (~9x 2027e EPS) with several assets in the company's pipeline that could make the story more interesting over time. However, we believe further derisking/data from these programs will be needed to shift investor sentiment. And here, most major data updates will come in 2027 and beyond. As a result, we remain on the sidelines with a Neutral rating and are decreasing our Dec-26 PT to \$28 (from \$30) following the recent Ph3 failure for Sigvotatug Vedotin in the 2L+ NSCLC setting.

- **On the quarter, we are roughly in-line with the Street.** Overall, we forecast sales of \$14.6bn (+\$130mm vs cons) and EPS of \$0.69 (+\$0.01 vs cons). On the topline, this includes Padcev sales of \$700mm (+\$70mm vs cons), Ibrance at \$1.1bn (+\$90mm), Eliquis sales of \$2.1bn (+3% YoY, in-line), and Vyndaqel at \$1.7bn (in-line).
- **We are also modestly ahead of PFE's guidance for the year with Eliquis upside more than offsetting COVID weakness.** On the COVID business, we are roughly in-line with the Street on the quarter, although we are below PFE's COVID guidance for the year (~\$4.2bn JPMe vs ~\$5bn in combined sales) given ongoing TRx trends (Comirnaty -27% YoY, Paxlovid -77%). Offsetting our COVID forecasts, we see upside to Eliquis (+\$270mm vs cons for the year). And with neither COVID or Eliquis core to the story at this point, we see more limited value being attributed by the market to any beat / miss on these products. Overall, this leaves us modestly above PFE's guidance with sales of \$62.7bn (vs \$59.5-62.5bn guide) and EPS of \$3.05 (vs \$2.80 - \$3.00).
- **Sentiment remains low on PFE but we believe it will take pipeline progression to shift views on the stock.** Investor sentiment remains depressed on the story with investors broadly seeing 1) limited downside in shares given the current valuation but 2) believing pipeline progression will be necessary for shares to re-rate. And with updates primarily centered in 2027/28+, we expect shares to be range bound from here. In the near-term, catalysts include 1) Ph1/2 data on the combination of berobenatide / GLP-1 + amylin (late-2026), 2) full Ph2 atopic dermatitis data for the company's Trispecific antibody, and 3) Ph3 Mevrometostat data post-abiraterone (July '26 PCD).

Neutral

PFE, PFE US

Price (07 Jul 26):\$24.07

▼ **Price Target (Dec-26):\$28.00**

Prior (Dec-26):\$30.00

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J.P. Morgan Securities LLC

Key Changes (FYE Dec)

	Prev	Cur	Δ
Revenue - 26E (\$ mn)	61,955	62,661	1.1%
Revenue - 27E (\$ mn)	57,075	57,991	1.6%
Adj. EPS - 26E (\$)	3.00	3.05	1.7%
Adj. EPS - 27E (\$)	2.57	2.62	2.2%

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1	0.92	0.75A	
Q2	0.78	0.69	
Q3	0.87	0.91	
Q4	0.66	0.70	
FY	3.22	3.05	2.62

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	17	14	17	17	16
Growth	81	40	42	26	73
Momentum	59	60	51	83	65
Quality	7	13	12	11	22
Low Vol	2	3	3	5	3
ESGQ	26	89	60	22	92

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 5 for analyst certification and important disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	-3.3%	-7.6%	-11.2%	-4.6%
Rel	-13.4%	-9.6%	-25.1%	-25.6%

Company Data

Shares O/S (mn)	5,758
52-week range (\$)	28.75-23.11
Market cap (\$ mn)	138,595.10
Exchange rate	1.00
Free float (%)	99.0%
3M ADV (mn)	39.95
3M ADV (\$ mn)	1,030.9
Volatility (90 Day)	22
Index	S&P 500
BBG ANR (Buy Hold Sell)	10 18 2

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	62,579	62,661	57,991	52,095
Adj. EBITDA	23,687	24,039	21,190	18,083
Adj. EBIT	21,969	22,301	19,382	16,079
Adj. net income	18,406	17,525	15,061	12,368
Adj. EPS	3.22	3.05	2.62	2.16
BBG EPS	3.13	2.97	2.85	2.42
Cashflow from operations	11,705	18,376	17,915	15,533
FCFF	9,076	15,876	13,915	11,533
Margins and Growth				
Revenue Growth Y/Y (%)	(1.6%)	0.1%	(7.5%)	(10.2%)
EBITDA margin	37.9%	38.4%	36.5%	34.7%
EBITDA Growth Y/Y (%)	0.7%	1.5%	(11.9%)	(14.7%)
EBIT margin	35.1%	35.6%	33.4%	30.9%
Net margin	29.4%	28.0%	26.0%	23.7%
Adj. EPS growth	3.7%	(5.2%)	(14.1%)	(17.9%)
Ratios				
Adj. tax rate	12.8%	15.5%	15.0%	15.0%
Interest cover	11.4	11.7	9.6	8.7
Net debt/Equity	0.7	0.6	0.6	0.6
Net debt/EBITDA	2.7	2.3	2.5	2.8
ROCE	12.6%	12.4%	10.8%	9.1%
ROE	21.0%	19.8%	16.6%	13.6%
Valuation				
FCFF yield	6.6%	11.5%	10.1%	8.4%
Dividend yield	-	-	-	-
EV/Revenue	3.2	3.1	3.3	3.6
EV/EBITDA	8.5	8.0	8.9	10.4
Adj. P/E	7.5	7.9	9.2	11.2

Summary Investment Thesis and Valuation

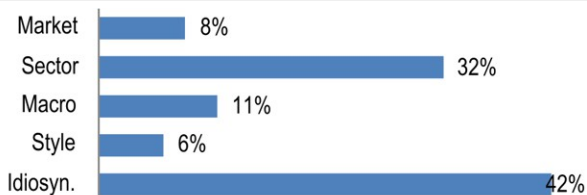
Investment Thesis

We continue to view PFE shares as inexpensive (~9x 2027e EPS) with several assets in the company's pipeline that could make the story more interesting over time. However, we believe further derisking/data from these programs will be needed to shift investor sentiment. And here, while there are a handful of expected 2026 readouts, most major data updates will come in 2027 and beyond. As a result, we remain on the sidelines with a Neutral rating.

Valuation

Our Dec 2026 price target of \$28 is based on our DCF methodology assuming a 0% terminal growth rate and an 8.5% WACC.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.27	0.38
Sect: Health Care	0.65	0.62
Ind: Pharma, Bio, Life Sci	0.72	0.69
Macro:		
US 10yr yield	-0.11	-0.20
US Dollar	-0.29	-0.17
Credit Spread	-0.02	-0.11
Quant Styles:		
DivYld	0.42	0.49
Growth	-0.37	-0.45
LowVol	0.32	0.41

Investment Thesis, Valuation and Risks

Pfizer Inc. *(Neutral; Price Target: \$28.00)*

Investment Thesis

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Valuation

Our Dec 2026 price target of \$28 is based on our DCF methodology assuming a 0% terminal growth rate and an 8.5% WACC, on par with our assumptions for the overall pharma sector.

Risks to Rating and Price Target

Risks to our Neutral rating on Pfizer include, to the downside, 1) failure to maintain operating margins and 2) potential for pipeline setbacks. Upside risks include 1) continued pipeline outperformance and 2) stronger-than-expected new product launch performance.

Pfizer Inc.: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26E	3Q26E	4Q26E	
Revenue	63,627	62,579	62,661	57,991	52,095	Revenue	14,451A	14,559	16,158	17,492	
COGS	(16,420)	(15,141)	(15,418)	(13,897)	(12,179)	COGS	(3,406)A	(3,438)	(3,736)	(4,837)	
Gross profit	47,207	47,438	47,243	44,094	39,916	Gross profit	11,045A	11,121	12,422	12,655	
SG&A	(14,617)	(13,643)	(13,335)	(12,669)	(12,035)	SG&A	(2,915)A	(3,327)	(3,095)	(3,998)	
Adj. EBITDA	23,515	23,687	24,039	21,190	18,083	Adj. EBITDA	5,994A	5,498	6,978	5,570	
D&A	(1,727)	(1,718)	(1,739)	(1,807)	(2,004)	D&A	(435)A	(435)	(435)	(435)	
Adj. EBIT	21,788	21,969	22,301	19,382	16,079	Adj. EBIT	5,559A	5,063	6,543	5,135	
Net Interest	(2,555)	(2,078)	(2,063)	(2,213)	(2,077)	Net Interest	(556)A	(502)	(502)	(502)	
Adj. PBT	20,757	21,141	20,781	17,770	14,602	Adj. PBT	5,171A	4,686	6,166	4,758	
Tax	(3,006)	(2,696)	(3,212)	(2,665)	(2,190)	Tax	(871)A	(703)	(925)	(714)	
Minority Interest	(35)	(39)	(43)	(43)	(43)	Minority Interest	(10)A	(17)	(8)	(8)	
Adj. Net Income	17,716	18,406	17,525	15,061	12,368	Adj. Net Income	4,290A	3,966	5,233	4,036	
Reported EPS	3.11	3.22	3.05	2.62	2.16	Reported EPS	0.75A	0.69	0.91	0.70	
Adj. EPS	3.11	3.22	3.05	2.62	2.16	Adj. EPS	0.75A	0.69	0.91	0.70	
DPS	-	-	-	-	-	DPS	-	-	-	-	
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-	
Shares outstanding	5,701	5,713	5,738	5,738	5,738	Shares outstanding	5,731A	5,740	5,740	5,740	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	1,043	1,142	5,799	9,845	5,408	Gross margin	74.2%	75.8%	75.4%	76.0%	76.6%
Accounts receivable	11,463	11,874	11,541	10,359	9,017	EBITDA margin	37.0%	37.9%	38.4%	36.5%	34.7%
Inventories	10,851	10,654	10,278	9,264	8,119	EBIT margin	34.2%	35.1%	35.6%	33.4%	30.9%
Other current assets	27,001	19,228	19,228	19,228	19,228	Net profit margin	27.8%	29.4%	28.0%	26.0%	23.7%
Current assets	50,358	42,898	46,846	48,696	41,772	ROE	19.9%	21.0%	19.8%	16.6%	13.6%
PP&E	18,393	19,317	20,078	22,271	24,267	ROA	8.1%	8.7%	8.5%	7.3%	6.2%
LT investments	-	-	-	-	-	ROCE	11.9%	12.6%	12.4%	10.8%	9.1%
Other non current assets	144,644	145,945	139,421	134,547	130,273	SG&A/Sales	23.0%	21.8%	21.3%	21.8%	23.1%
Total assets	213,395	208,160	206,346	205,515	196,312	Net debt/equity	0.7	0.7	0.6	0.6	0.6
Short term borrowings	6,946	3,154	3,154	3,154	3,154	P/E (x)	7.7	7.5	7.9	9.2	11.2
Payables	5,633	5,240	5,353	4,825	4,229	P/BV (x)	1.6	1.6	1.5	1.5	1.5
Other short term liabilities	30,416	28,590	28,681	28,261	27,731	EV/EBITDA (x)	8.5	8.5	8.0	8.9	10.4
Current liabilities	42,995	36,984	37,189	36,240	35,113	Dividend Yield	-	-	-	-	-
Long-term debt	57,405	61,641	58,641	58,641	53,141	Sales/Assets (x)	0.3	0.3	0.3	0.3	0.3
Other long term liabilities	24,498	22,760	20,160	19,160	18,160	Interest cover (x)	9.2	11.4	11.7	9.6	8.7
Total liabilities	124,898	121,385	115,990	114,041	106,414	Operating leverage	1530.6%	(50.4%)	1155.1%	175.6%	167.7%
Shareholders' equity	88,497	86,775	90,356	91,473	89,898	Revenue y/y Growth	8.8%	(1.6%)	0.1%	(7.5%)	(10.2%)
Minority interests	-	-	-	-	-	EBITDA y/y Growth	116.5%	0.7%	1.5%	(11.9%)	(14.7%)
Total liabilities & equity	213,395	208,160	206,346	205,515	196,312	Tax rate	14.5%	12.8%	15.5%	15.0%	15.0%
BVPS	15.52	15.19	15.75	15.94	15.67	Adj. Net Income y/y Growth	68.7%	3.9%	(4.8%)	(14.1%)	(17.9%)
y/y Growth	(0.4%)	(2.1%)	3.7%	1.2%	(1.7%)	EPS y/y Growth	69.5%	3.7%	(5.2%)	(14.1%)	(17.9%)
Net debt/(cash)	63,308	63,653	55,996	51,950	50,887	DPS y/y Growth	-	-	-	-	-
Cash flow from operating activities	12,743	11,705	18,376	17,915	15,533						
o/w Depreciation & amortization	7,013	6,592	6,613	6,681	6,878						
o/w Changes in working capital	(3,066)	(5,354)	913	1,248	1,361						
Cash flow from investing activities	2,652	(1,351)	(850)	(4,000)	(4,600)						
o/w Capital expenditure	(2,909)	(2,629)	(2,500)	(4,000)	(4,000)						
as % of sales	4.6%	4.2%	4.0%	6.9%	7.7%						
Cash flow from financing activities	(17,140)	(10,303)	(12,869)	(9,869)	(15,369)						
o/w Dividends paid	(9,512)	(9,771)	(9,869)	(9,869)	(9,869)						
o/w Net debt issued/(repaid)	(7,159)	(74)	(3,000)	0	(5,500)						
Net change in cash	(1,811)	92	4,657	4,046	(4,436)						
Adj. Free cash flow to firm	9,834	9,076	15,876	13,915	11,533						
y/y Growth	105.2%	(7.7%)	74.9%	(12.3%)	(17.1%)						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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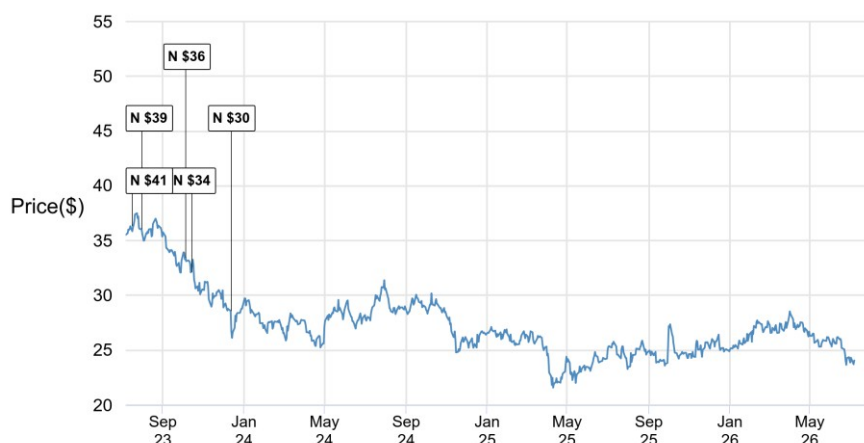
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Pfizer Inc. (PFE, PFE US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
17-Jul-23	N	36.32	41
01-Aug-23	N	36.06	39
06-Oct-23	N	33.47	36
15-Oct-23	N	32.11	34
13-Dec-23	N	28.58	30

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 08, 1997. All share prices are as of market close on the previous business day.

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IB clients**	95%	92%	87%

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